

Crisis in 2008–2009 was an investment with a manager that purchased high quality credit instruments senior in the capital structure of a company. Unfortunately, the manager used leverage to boost their returns. As a result, when prices declined in the credit market meltdown of that era, the manager faced margin calls on the lines of credit it used to hold its investments. Although the underlying credit investments ultimately did fine, the manager was forced to sell many of them at the worst possible time, locking in losses that could not be recovered. We have similarly locked in losses by investing with managers who go out of business in bad markets due to large investor redemptions, key employee departures, or other types of business instability. As a result, we explore if potential manager partners are sufficiently capitalized as a business to endure periods of negative returns, sufficiently generous with economics to retain talented staff in a downturn, sufficiently long-term oriented and motivated to work through difficult times, and have a sufficiently high quality investor base to avoid run-on-the-bank scenarios where investors compete to pull money from a dying fund.

We have tried to identify other attributes of managers that help mitigate risk. For example, we prefer managers who love the process and challenge of investing, not simply the financial rewards. These managers are more likely to stay the course and even thrive in difficult markets when investment bargains are rampant but near-term economic rewards are lower. We prefer managers with a willingness to limit their capital base by closing their funds and turning away potential investors. These managers prepare for downside scenarios by maintaining excess demand from investors that can be used to replace possible future redemptions, protecting themselves from business disruptions during market dislocations. We prefer managers with a focus on absolute returns, rather than those who view success as outperforming an index. In our experience, managers with absolute